

How the structure behaves when conditions worsen

If costs rise while we build

Woodfine Direct-Hold Solutions issue less debenture and build fewer Investment Units of space, holding interest coverage at the **1.20x covenant — no breach**. At a +200 bps coupon, about **77%** of the programme is built.

Once built

Stabilised coverage is **2.49x** (Year 8). It would take roughly **+538 bps** (a coupon near 10.4%) before coverage reaches the covenant. The built structure absorbs large increases.

What this means for your capital

Across both regimes the **\$100.00** capital-preservation reference per Investment Unit holds and the covenant is never breached. The structure adapts; it does not break.

WOODFINE DIRECT-HOLD SOLUTIONS — SENSITIVITY ANALYSIS

Section 1 of 4 — What we expect to happen

Base case · 10-year forecast per Investment Unit

All figures generated by the forecast engine. Base assumptions: development yield 10.50% (net of 5% vacancy ⇒ **95% occupancy**) · cap rate 6.25% · debenture 5.00% · buyer yield 8.00% · coverage covenant 1.20x · capital-preservation reference \$100.00/Investment Unit.

Y8 NAV / Unit

\$386.29

the value · on \$100 invested

Y8 Income Yield on Capital

24.02%

the income · on \$100 invested

Y10 NAV / Unit

\$391.67

capital growth

Y8 Market Value / Unit

\$300.23

distribution ÷ 8% buyer yield

Min Interest Coverage

1.33x

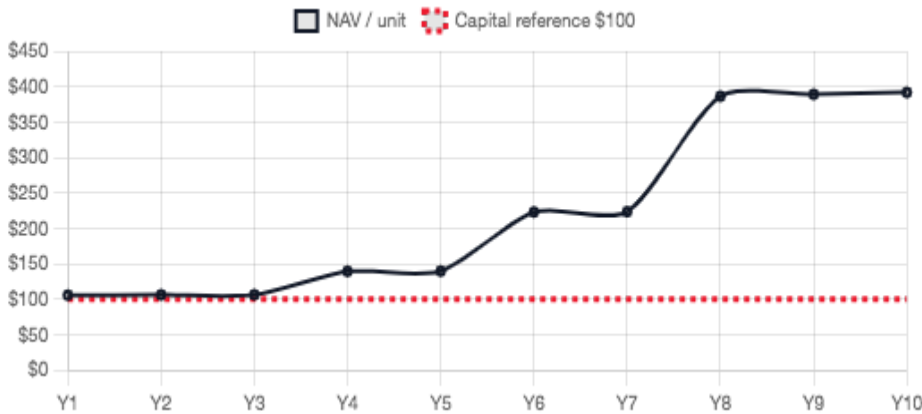
Year 7 (covenant 1.20x)

Stabilised Occupancy

95%

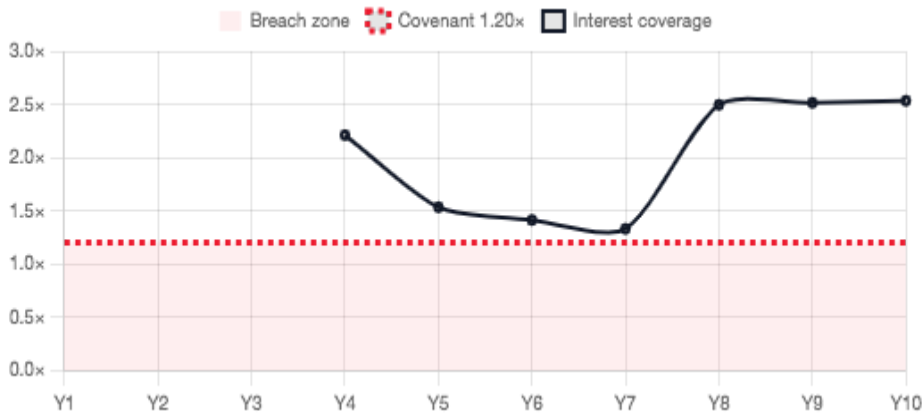
net of 5% vacancy

NAV PER INVESTMENT UNIT (\$100 INVESTED)



NAV rises from ~\$100 at issue to ~\$392 by Year 10. The \$100 capital-preservation reference is shown.

INTEREST COVERAGE — COVENANT FLOOR 1.20x



Coverage is tightest mid-build (Year 7) and rises after stabilisation. It stays on or above the 1.20x covenant.

FINANCIAL FORECAST — PER INVESTMENT UNIT (ENGINE-GENERATED; CIRCULATED SUMMARY FORM)

Per Investment Unit	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
Revenue (per Unit)	—	—	—	\$8.20	\$8.20	\$21.03	\$21.03	\$45.78	\$45.78	\$45.78
Distributions (per Unit)	—	—	—	\$1.62	\$2.17	\$3.33	\$4.39	\$24.02	\$24.14	\$24.26
Distribution Yield on Initial Capital	—	—	—	1.62%	2.17%	3.33%	4.39%	24.02%	24.14%	24.26%

Per Investment Unit	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
Asset Value (per Unit)	\$105.43	\$105.93	\$106.02	\$200.24	\$261.59	\$462.92	\$581.27	\$741.55	\$741.55	\$741.55
Total Debt (per Unit)	—	—	—	\$61.11	\$122.22	\$240.08	\$357.93	\$355.26	\$352.58	\$349.88
Net Asset Value (NAV) per Unit	\$105.43	\$105.93	\$106.02	\$139.13	\$139.37	\$222.85	\$223.34	\$386.29	\$388.97	\$391.67
Market Value per Unit	\$100.00	\$100.00	\$100.00	\$125.80	\$132.10	\$171.50	\$177.30	\$300.23	\$301.73	\$303.24
Discount / Premium vs NAV	—	—	—	−9.58%	−5.22%	−23.04%	−20.61%	−22.28%	−22.43%	−22.58%
Compounded Annual Return (Y8)	—	—	—	—	—	—	—	14.73%	—	—
Distribution Yield to Buyers at Market	—	—	—	1.29%	1.64%	1.94%	2.48%	8.00%	8.00%	8.00%
Interest Coverage Ratio	—	—	—	2.21×	1.53×	1.41×	1.33×	2.49×	2.51×	2.53×
Debt vs Development Cost	—	—	—	14.02%	28.03%	55.06%	82.09%	81.48%	80.87%	80.25%
Debt to Asset Value	—	—	—	30.52%	46.72%	51.86%	61.58%	47.91%	47.55%	47.18%
Total Expense Ratio	1.18%	1.17%	1.17%	0.89%	0.89%	0.56%	0.56%	0.32%	0.32%	0.32%
Sqft (stabilised)	—	—	—	699.6K	699.6K	1794.8K	1794.8K	3906.9K	3906.9K	3906.9K

Forward-looking information (FOFI) — assumptions as at June 2026; actual results will vary. See Section 4.

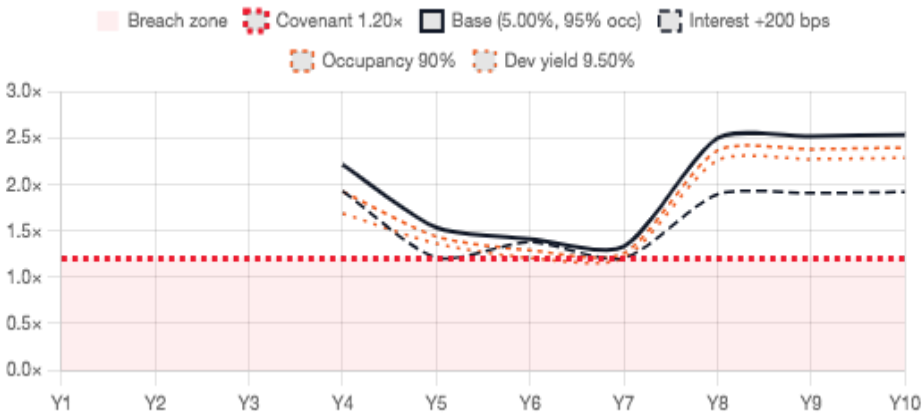
WOODFINE DIRECT-HOLD SOLUTIONS — SENSITIVITY ANALYSIS

Section 2 of 4 — If conditions worsen while we build, we build less

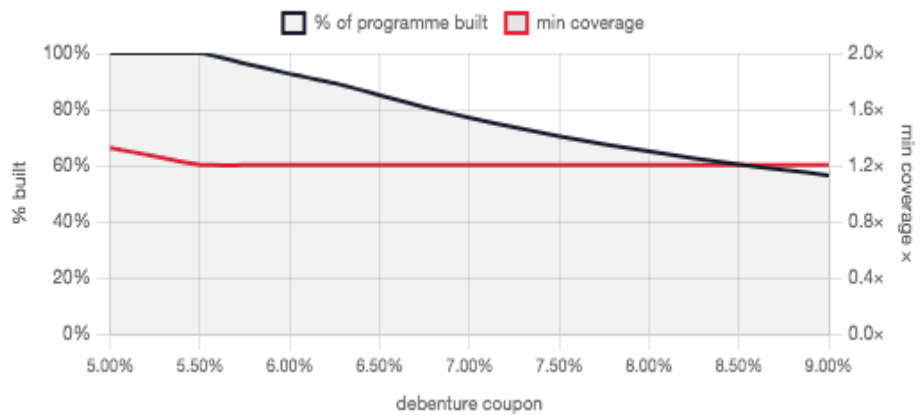
Management Response · the covenant is held across cap-cost, occupancy and yield stress

The forecasts reflect the structure as it is actually managed. If financing costs or operating conditions deteriorate during build-out, the issuer constrains debenture issuance and builds fewer Investment Units of space, holding interest coverage at the 1.20× covenant. A static path that froze every management lever — holding issuance and build-out at plan while costs rose — is not a realistic operating scenario: under the debenture terms a sustained covenant breach would transfer control of the assets to the secured lenders. Because that no-response path does not represent how the structure would be operated, it is not presented here as a scenario.

COVERAGE IS HELD — ACROSS INTEREST RATE, OCCUPANCY AND DEVELOPMENT YIELD



THE ADAPTIVE LEVER — BUILD LESS AS FINANCING COST RISES



MANAGEMENT RESPONSE TO THE THREE COVERAGE DRIVERS (ENGINE-COMPUTED)

Stress (one driver, all else at base)	Programme built	Minimum coverage	Y8 NAV / Unit (value)	Y8 Income Yield on Capital
Interest rate · +200 bps → 7.00%	77%	1.20×	\$316.73	14.41%
Occupancy · 90% (from 95%)	100%	1.25×	\$347.19	21.85%
Development yield · 9.50% (from 10.50%)	99%	1.20×	\$313.77	19.95%

Cap rate is a valuation input only (it does not change operating coverage) and is shown in Section 3 and Section 4.

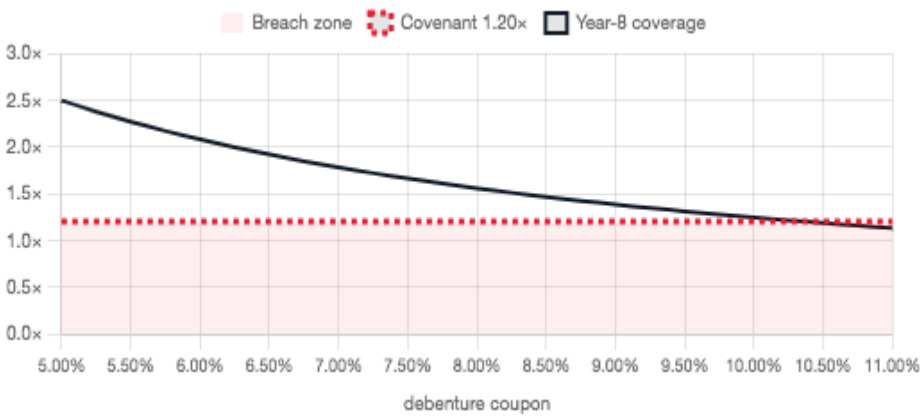
WOODFINE DIRECT-HOLD SOLUTIONS — SENSITIVITY ANALYSIS

Section 3 of 4 — Once built, the structure absorbs large shocks

Post-construction coverage headroom · corrective disposition of last resort

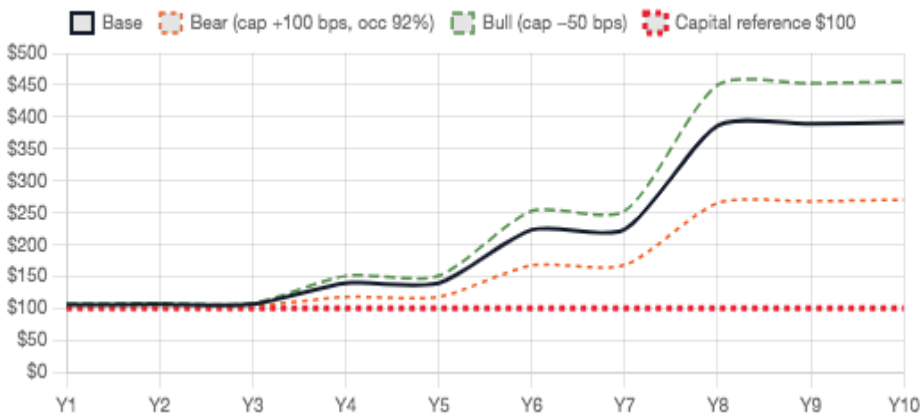
After construction, stabilised coverage is high. Year-8 coverage is 2.49x and it would take roughly +538 bps (a coupon near 10.4%) before it reaches the 1.20x covenant — so a corrective disposition is rarely needed. If an extreme combined shock did land after build-out, the minimum disposition required to restore the covenant is shown.

POST-CONSTRUCTION HEADROOM — YEAR-8 COVERAGE VS COUPON



Stabilised Year-8 coverage starts at 2.49x and reaches the 1.20x covenant only near a 10.4% coupon (≈ +538 bps).

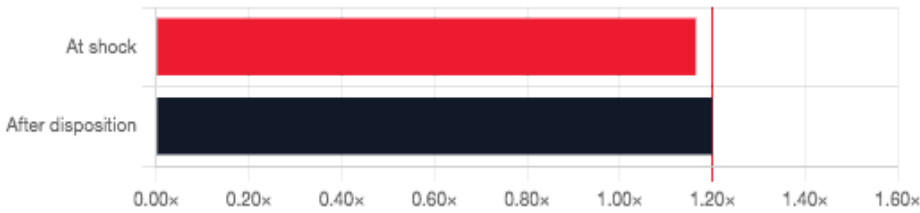
NAV RESILIENCE — BASE VS BEAR AND BULL



NAV/unit climbs to ~\$392 by Year 10. Even the bear case (cap +100 bps, occupancy 92%) stays well above the \$100 capital-preservation reference — and the distribution yield on initial capital moves with NAV, so the income and value sensitivities track together.

CORRECTIVE DISPOSITION — EXTREME POST-BUILD SHOCK (CURABLE)

COVERAGE: AT SHOCK VS AFTER CORRECTIVE DISPOSITION



31.7%

Minimum disposition

\$339.0M

At stressed value

\$339.0M

Debt retired

1.20x

Coverage restored

68.3%

Portfolio remaining

\$30.26

NAV/unit post-cure

Curable post-build shock: selling ≈32% of the portfolio at stressed value lifts coverage from 1.16x back to the 1.20x covenant. Some combined shocks are incurable by disposition (the applicable response is constrained issuance) and are noted below.

Some combined shocks (cheap debt with an income collapse) cannot be cured by disposition because retained assets out-yield the debt; in that regime the applicable response is constrained issuance, not a sale (IFRS 13 §15–\$24 orderly-transaction caveat applies to stressed-value sales).

WOODFINE DIRECT-HOLD SOLUTIONS — SENSITIVITY ANALYSIS

Section 4 of 4 — Measurement sensitivity, assumptions & caveats

IFRS 13 §93(h)(ii) reasonably-possible disclosure · forward-looking statements

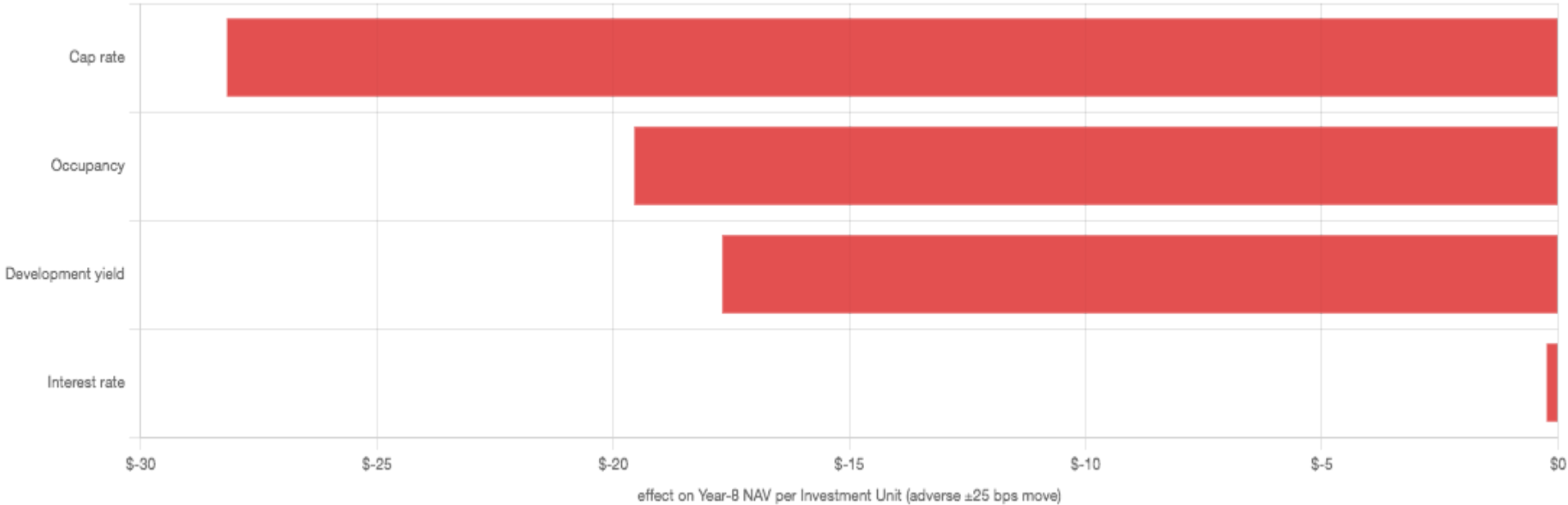
IFRS 13 §93(H)(II) — REASONABLY-POSSIBLE (±25 BPS) MEASUREMENT SENSITIVITY

Unobservable input	Adverse move	Favourable move	Y8 NAV / Unit (adverse)	Y8 NAV / Unit (favourable)	Y8 Income Yield (adverse)	Min coverage (adverse)
Cap rate	+25 bps → 6.50%	-25 bps → 6.00%	\$358.12 (−\$28.17)	\$416.81 (+\$30.52)	24.02% (+0.00 pp)	1.33×
Interest rate	+25 bps → 5.25%	-25 bps → 4.75%	\$386.05 (−\$0.24)	\$386.53 (+\$0.24)	23.21% (−0.81 pp)	1.26×

Unobservable input	Adverse move	Favourable move	Y8 NAV / Unit (adverse)	Y8 NAV / Unit (favourable)	Y8 Income Yield (adverse)	Min coverage (adverse)
Occupancy	−2.5 pp → 92.5%	+2.5 pp → 97.5%	\$366.74 (−\$19.55)	\$405.84 (+\$19.55)	22.93% (−1.08 pp)	1.29×
Development yield	−25 bps → 10.25%	+25 bps → 10.75%	\$368.60 (−\$17.69)	\$403.98 (+\$17.69)	23.04% (−0.98 pp)	1.29×

Within the reasonably-possible range, the measurement is not sensitive to a degree that threatens the \$100 capital-preservation reference or the 1.20× covenant; the dollar effects are small and shown above. Moves larger than this range are stress scenarios outside the §93(h)(ii) disclosure (for reference, NAV reaches \$100 per Unit only if the cap rate widened to about 10.26%, ≈ +401 bps — far beyond reasonably possible).

RANKED REASONABLY-POSSIBLE EFFECT ON YEAR-8 NAV PER UNIT (±25 BPS)



BASIS OF PREPARATION

All figures are generated by the forecast engine; the interface performs no independent calculation. The circulated Excel summary (AA12:AN35) supplies the table form and layout only; figures may differ because the engine expenses debenture financing costs as incurred rather than grossing them into the debt principal. The 10.50% development yield is net of 5% vacancy, so the base reflects **95% occupancy**.

The forecasts reflect the structure as actually managed (Section 2). A static no-response projection is not presented because, under the debenture terms, a sustained covenant breach would transfer control of the assets to the secured lenders — it is not an operating scenario. Woodfine Direct-Hold Solutions issue Investment Units and are direct-hold structures; they do not offer unit redemption or carry the reserve features of redeemable collective-investment vehicles.

FORWARD-LOOKING INFORMATION (FOFI)

This analysis is future-oriented financial information prepared on the stated assumptions as at June 2026. The management-response and corrective-disposition exhibits are forward-looking illustrations, not fair-value measurement inputs. Actual results, measurements and outcomes will differ — potentially materially — and readers should not place undue reliance on them. Prepared and presented consistent with NI 51-102 and ISAE 3400.